Fictional Procurement Audit Policy | 2026

Rule 1 | Effective date

Rate-card applicability is determined by the quotation date, not the PO date or delivery date.

Rule 2 | Metal and gem handling

Calculate metal cost using grams and metal grade (14K or 18K). Gemstone value is excluded from this fictional assessment model.

Rule 3 | Setting

Setting rate is charged for every stone setting on one finished jewelry unit.

Rule 4 | Labor

Labor is applied once per finished unit. Earrings quantity is measured in PAIRS (one pair is one finished unit).

Rule 5 | Handling

Handling is percentage of (metal cost + setting cost + labor), per finished unit. Round handling to 2 decimal places.

Rule 6 | Finish

Rhodium finishing charge applies once per unit only when PO specifies Rhodium.

Rule 7 | Total

Expected total equals per-unit cost times ordered quantity. Round each monetary component to 2 decimals using ROUND_HALF_UP.

Rule 8 | Tolerance

Flag absolute total variance above USD 0.01. Underquotes must be identified, not automatically rejected.

Rule 9 | Missing evidence

If matching/rates/units are indeterminate, label NEEDS_REVIEW; do not invent a value.

Rule 10 | Approval

No quotation is automatically approved. Reviewer can record decision, justification, name, and timestamp.